Robert R. Prechter
1949–

Robert R. Prechter made his name in the 1980s as a premier caller of market movements—at the end of the decade *Financial News Network* named him one of five masters in the world of finance. And to think, at the start of the prior decade, the 1970s, he was a full-time rock musician. For four years he was a drummer in a rock band—in fact, his band originated the song "Some Guys Have All the Luck," which Rod Stewart later made a hit. During that period, he encountered the writings of Ralph N. Elliott, who believed all human behavior follows a pattern. "Using stock market data as his main research tool," Prechter explained, "Elliott isolated 13 patterns, or waves, that recur in markets." He considers Elliott's work as important to social science as Newton's was to physical sciences.

Finally, Prechter made his way to Wall Street, where he first worked for Merrill Lynch as a technical specialist. Still a devout Elliott follower, Prechter left the corporate scene to start publishing the *Elliot Wave Theorist* monthly newsletter in 1979. Although praised, some critics have equated his techniques with numerology. Regardless, he predicted a major bull market in September 1982, stating that the Dow Jones Industrial Average would increase to five times its current level. As the market continued to climb, he found himself a celebrity on *Good Morning America* and *The Today Show.*

As far as Prechter is concerned, a long bull market is not created by a select group of investors. Rather, it's the result of a positive social mood. His degree in psychology (from Yale, 1971) has certainly lent itself to his style of analysis. When contemplating a market movement, he'll even factor in the music being generated and the hemline length on dresses to gauge the public's mood. For example, in 1989 he thought Guns N' Roses' violent hard-rock album *Appetite for Destruction* and Bobby McFerrin's genial *Don't Worry, Be Happy* suggested dissonance in society, a precursor to a down market. In *Elvis, Frankenstein and Andy Warhol,* Prechter takes a historical look at social trends in dress, music, and art, and equates them to stock market performance. Yes, he says, the stock market imitates art.